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ROCKWOOL A/S (ROCK.B.DK)

Q3 2025 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Good day to everyone. Welcome to ROCKWOOL A/S Conference Call regarding the Results for the First Nine Months of 2025. My name is Kim Junge Andersen. I'm the CFO of ROCKWOOL A/S. Today, I'm pleased to present CEO, Jes Munk Hansen. For the first part of this call, all participants will be in listen-only mode. As a reminder, this conference call is being recorded. First, Jes will go through our presentation, and give you an update of the results for the first nine months and third quarter of 2025, after which we'll be ready to answer all your questions. Before I hand over the word to Jes, I must ask you to notice slide number 2, which is a forward-looking statement. Please be aware that this presentation contains uncertainties. Now, we can go to the next slide, which is slide number 3.

Jes, I now hand over the word to you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Good morning, everyone, and I start on slide number 3. As you all know, the construction industry is still challenged in the macro context, owing to uncertainty, geopolitical turmoil, and continued hesitations in the market, and we don't expect this to change in the near term. Revenue in the first nine months increased 1% in

local currencies. And acquisitions we made in October 2024 contributed with a 2% increase in local currencies. So excluding acquisitions, group revenue decreased slightly. Pricing had a 1% impact in the first nine months, and impact from inflation was, thus, offset by the sales price increases. The EBIT margin declined 2.1 percentage points. Overall, we think the result is acceptable, given the very difficult market circumstances.

Next slide is our Q3 highlights. Revenue in Q3 increased 2% in local currencies. Excluding acquisitions, group revenue growth was flat. In Q3, sales and earnings were negatively affected by a short-term sales decrease in the UK where large flat roof projects were canceled or postponed. In addition, a longer-than-planned production stop reduced available capacity in the UK market. In the beginning of Q4, UK sales were back to normal levels. In Canada, which has been hard-hit by the tariff situation, the construction market is in a challenging period. Here, we don't foresee any quick recovery. On the EBIT margin, the Q3 result was affected by three main factors: the lower performance in the important and profitable UK market; reduced efficiency in several factors, as well as a decline in operating cost leverage; and last but not least, a continued decline in the Russian business.

All in all, and in short, it was a challenging environment in Q3, but I believe we navigated it well. I will jump slide 5 and go directly to Q3 revenue. So slide 6, the continued decrease in Russia had a negative impact of 2 percentage points in Q3. Excluding Russia and acquisitions, the group revenue increased 2 percentage points in the quarter, hence, 2% organic growth ex-Russia. On the Insulation segment, revenue increased 3% in local currency with strong sales performance notably in Poland, in Romania, in Spain, in Italy, and importantly, also in France. Excluding Russia, the Insulation segment revenue increased 5%. Just to repeat, acquisitions contributed with a 2% revenue growth. In the Systems segment, the 1% revenue decrease in the quarter was driven primarily by challenges in the Grodan business.

Slide 7, where I will talk about our regional revenue for the quarter. In Western Europe, there was a double-digit growth in Italy, a double-digit growth in Spain in the quarter. On the negative side, Germany declined as the UK, as I just previously noted on the previous slide. In France, importantly, the revenue is back to a growth, slight growth, but a growth after several quarters with declines. And in Eastern Europe, many countries are back to real growth, including Poland and Romania. Russia continues with double-digit revenue decrease. Year-to-date Q3, Russia accounted for around 7% of the total group revenue in reported figures. In United States, we are also back to good growth while, as I said before, the Canadian market is facing headwinds from the trade tensions ongoing. In Asia, revenue, excluding the 2024 acquisition, increased slightly. However, sales in China decreased double-digit.

Slide number 8, a few comments to our Q3 profitability. In short, EBITDA is down 11% from €241 million to €215 million. This results in a 2.9-percentage-point lower EBITDA margin due to unfavorable country and product mix. Reduced efficiency in several factories, as well as a decline in operating cost leverage also contributed to the lower EBITDA margin. The longer-than-planned shutdown of our factory in Wales and the slowdown in the market had a €5 million impact in the quarter compared to the previous forecast, and the lower sales in Canada obviously also reduced earnings. The continued decrease in Russia had around a 1-percentage point impact on the group EBIT margin. So EBIT margin at 15.5%, down 2.6 percentage points. Considering the global situation, again, we believe these results are acceptable, although from a very mixed performance in very different market situations.

Slide number 9, a little bit about the profitability by business segments. We'll talk about Insulation segment first. Looking at profitability here, EBIT margin in Insulation segment was down 2.2 percentage points compared to last year. In the Systems segment, EBIT margin decreased 1-percentage point from lower earnings in Grodan. And the Grodan business is challenged by lower volumes in the medical cannabis market and an unfavorable product mix coming from the lower-margin vegetable business. Slide number 10 on our investment activities. And just in short, our biggest investments in Q3 related to the electrification of production lines in the Netherlands and in

France, and what we previously have talked about, the capacity expansion in Romania, as well as the large factory project in the United States.

A few comments to our cash flow on slide 11. Our net cash position we landed at €100 million, of which €230 million was restricted cash in Russia. Net book value of the investment in the Russian business as per the third quarter was €425 million. Free cash flow decreased €92 million compared to the same quarter last year, mainly from the lower earnings, a less favorable working capital development, and higher investments. The negative development in working capital was mainly due to softer demand, and therefore, higher inventory, including in UK and Russia, as well as in Germany and Canada.

Now, let's turn our attention to the outlook for the remainder of the year, slide number 13. Q4 started as expected with a small sales growth in October. And so based on that, an underperformance in the first nine months of 2025, we maintain our full year revenue outlook, that will be at level with last year in local currencies. The production-related incident in the factory in Flums, Switzerland in October will have a reported impact on EBIT of around €15 million in quarter four. And as we see it now, we expect production to be up and running again in the beginning of the first quarter, which is important to us because we need to be ready for the important spring season. In the UK, pipeline and quoting activities now suggest that we'll be back on track from the start of 2026. In Canada, however, we anticipate that both Insulation and Grodan businesses will continue to be challenged.

As previously announced, we forecast an EBIT margin between 14% and 15% due to the incidents in Flumroc, and the softness, especially in Canada and Russia. Our large investment projects are on track, and the investment level around €450 million, excluding acquisitions for the year, is maintained. We believe in the long-term demand for our products, and we remain optimistic about the future. In Europe we continue to work at the member state level on implementation of the Energy Performance of Buildings Directive. I must also note that, so far, we have only seen limited impact on sales from the renovation wave, and also don't expect much from it in the near term. We will continue investing in capacity buildup, marketing, public affairs and digitalization, supporting the anticipated growth, driven by the energy efficiency agenda in Europe and our expansion in the United States.

These were my introduction comments, and we will now go into the Q&A session.

QUESTION AND ANSWER SECTION

Operator: Thank you. We will now begin the question-and-answer session. [Operator Instructions] Our first question comes from Kristian Tornøe with SEB. Please go ahead.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Yes. Thank you. Two questions from my side. So first of all, on your North American business, if we sort of go back to before the summer you were talking about good demand, capacity constraints, potential imports from Europe. And now you've made it pretty clear that that demand in Canada is down, but you also state that demand in US is actually up and running and good. So I assume that you now have sort of available capacity, I guess, on your Toronto factory. How easy is it to use that capacity in the US market, and how fast can you sort of compensate for that? So should we really think about your North American business or the slowdown in your North American businesses as temporary?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I'm not even sure if that was one or two questions, but I'll answer the North American question. Correct, US is back to the growth levels that we saw before the summer, and Canada being down. So we have capacity available in our large Canadian factories that we can use in the US market, and that's a model we have had for years and used for years. So the products have the certificates and everything that need to be used in the US market. So that is our biggest capacity, you can say, potential. In the midterm, we do see that we need to import certain products from Europe until our new factory in Wallula is up and running. And also there, we are ready both with capacity and what it takes to import these products.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. So but maybe just to be more specific on my question, so obviously, we see revenue down 7%, I think, it was in Q3 in North America. So I guess, what I'm after is, can the US compensate for the lack of revenue in Canada, and hence, North America as a region return to growth again on the short term?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

In Q4 already, we see that effect that the US because of its size now, can compensate at least to a certain degree further down in Canada. So if it continues this way, yes, then we will see a growth in totality in North America again.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. That's very clear. And then my second question is just your comment on reduced efficiency in service tax fee. Can you elaborate what has driven this, and whether this is temporary or something we should be worried about?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

It is temporary. We have a lot of projects going on, and also some maintenance projects we've decided to pull forward, and they have affected our factory efficiencies. Then, of course, there are some factories where we have lower capacity utilization. So the absorption degree is lower, but it's mainly from the first factor.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. But when is efficiency back to normal then?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

That's too specific. Then I have to go down on factory level because they are really projects by projects. Also, some of our conversion projects are affecting efficiencies because we have to take the factories off line when we install equipment. So it becomes very detailed. I was just, my colleague was just calculating the North American, trying to come with an estimate and we do see some single-digit growth in North America in quarter four already.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. Thank you. That was all for me.

Operator: Thank you. [Operator Instructions] Our next question comes from the line of Anna Schumacher with BNP Paribas. Please go ahead.

Anna Schumacher

Analyst, BNP Paribas SA (London Branch)

Q

Hi, all, and thanks for taking my questions today. I have two. So firstly, on margin, if I take the midpoint of the new guide and add back the €15 million expense expected in Q4 for the Switzerland incident, if my math is correct, it suggests that Q4 EBIT margin decline of over 4 percentage points, which is quite a step down versus what we've seen in Q3 and Q2. Does this mean that your new full year guide is on the conservative side, or are you expecting a worsening of condition in Q4? And secondly, on Eastern and Southern Europe, where you mentioned pockets of good growth, what's driving this, like is it newbuild, renovation, new tunnel, and how repeatable is this in 2026?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Just to the fourth quarter, the fourth quarter is always, particularly December, our absolute slowest quarter and month. As I said, that is more a year-to-year effect we see again and again. East Europe, it's right, we have some very strong market developments in Poland, in Romania and what drives that. Poland is really the flat roof business has come back for us. We did small tactical price adjustments in the Polish market, and now see a very positive volume effect from that. And in Romania, it's the story that we've talked about for a long time now that Romania has adapted a new – and it is a new fire regulation on buildings, but also this new EPD programs. Romania is one of the first countries really to put that into action.

Anna Schumacher

Analyst, BNP Paribas SA (London Branch)

Q

Thanks. So on the first question, I understand that the margin is typically lower in Q4, but if my math is correct, it suggests that the year-on-year change in Q4 is bigger, like the step down is bigger in Q4 versus step down that we've seen in Q2 and Q3. Is that because end markets are worsening, or just like the consensus guidance?

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, ROCKWOOL A/S*

A

Yeah. Hi, Anna. It's a very realistic guidance. We have most at the Flumroc one-off expenses will be in Q4, and also continued, as I said, slowdown in Canada and Russia will impact the Q4 earnings. So there is nothing really unusual in our understanding of the market dynamics itself. They are unchanged compared to Q3.

Anna Schumacher*Analyst, BNP Paribas SA (London Branch)*

Q

Okay. Thank you.

Operator: Thank you. Your next question comes from Claus Almer with Nordea. Please go ahead.

Claus Almer*Analyst, Nordea Bank Abp*

Q

Thank you. Yeah. Also a few questions from my side. So more to this Q4 implicit guidance, so I've tried to make an implicit Q4 EBIT guidance, and if you try to adjust for Russia and Canada, as you mentioned in the report, and obviously also the issues in Flums, I'm still getting to a EBIT decline year-over-year around 10%, if you are at the midpoint of the guidance. This maybe looks a bit strange given that US is growing and you have Eastern Europe and so on. So maybe a little bit more color to why you see a lower underlying EBIT. Thanks. That would be the first one.

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, ROCKWOOL A/S*

A

Thank you, Claus. As mentioned here, besides the, you can say the one-off that we've already mentioned in the report, I see this as a normal Q4. There is nothing dramatic changes in neither our pricing points or inflation. We do have a few, as always, at the year-end, a few reviews of what else is happening around the group. And I guess, we are just taking precautions that we don't end up with outside the range that we have specified.

Claus Almer*Analyst, Nordea Bank Abp*

Q

Okay. So meaning that we should – everything equal, you will be in the upper end of the range. Is that the normal way, Kim, we should understand?

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, ROCKWOOL A/S*

A

So far, we have not specified or qualified the range.

Claus Almer*Analyst, Nordea Bank Abp*

Q

Okay. All good. Then, my second question is about the CapEx. We have been talking about CapEx for a long time with these ongoing new factories being built. Giving, Jes, your comments about an uncertain end market,

especially in some parts of the world, are you considering planning to delaying some of these campaigns or maybe even reducing the CapEx spend? That would be my second question.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

We monitor it all the time. And when we talk capacity, it has to be a discussion country-by-country or region-by-region because, as you know, we are sold out in South Europe, so we need capacity in South Europe. We sold out more or less in North America. We sold out more or less in India. So all these places, it's fairly easy and very robust to make CapEx decisions. And of course, we then look at other places, both on capacity but also on our energy transition, how fast we want to do it, and if timing should be changed slightly. But overall, we keep the very high CapEx level and investment programs, because when we model these things, we are convinced, as I said before, about the long-term demand for our products, both in Europe and in North America. So already now I can foreshadow that next year's CapEx will be higher than this year.

Claus Almer

Analyst, Nordea Bank Abp

Q

Okay. That was all from me. Thank you so much.

Operator: Thank you. The next question comes from Chase Coughlan with Kempen. Please go ahead.

Chase Coughlan

Analyst, Van Lanschot Kempen NV

Q

Yes. Good morning, all, and thank you for taking my questions. Maybe on the topic of CapEx, so of course, you maintained the €450 million guidance for this year. I heard you just say that next year should be even higher than that. Can you provide maybe how much higher exactly or could you provide maybe a normalized percentage of sales CapEx figure just for the midterm, just almost from a modeling standpoint, that would be very useful.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

I will come back with that in February, more guidance on those numbers.

Chase Coughlan

Analyst, Van Lanschot Kempen NV

Q

All right. Fine. And then second question, I know, it's quite difficult to talk about the Russian business. And you mentioned in the press release, it's down double-digit from a revenue perspective, and you don't feel there's much improvement in the near term there. Can you share any of the insights that you're hearing from the local management? Is that expected to even worsen maybe in Q4, or any kind of color would be extremely helpful.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

No, I unfortunately not, because I don't talk to the Russian management. I have, in my tenure as CEO, never had a conversation with them. So I have no further insights than you have into what's happening in Russia.

Chase Coughlan

Analyst, Van Lanschot Kempen NV

Q

Okay. Well, thank you anyway.

Operator: Thank you. Your next question comes from Yassine Touahri with On Field Investment Research. Please go ahead.

Yassine Touahri

Analyst, On Field Investment Research

Q

Thank you very much for taking my question. So two questions. The first is on the margin guidance that you're suggesting for Q4. So I think, you in order to achieve the margin of 14% to 15% for the year, it suggests that you're expecting a margin in Q4 of between 9% and 13%. And I understand that there could be a negative impact of margin of maybe 1.5% from a one-off. So it suggests that the margin, excluding one-offs that you're guiding for in Q4, is 11% to 15% approximately. And my question is like, this 11% to 15% that you're expecting in Q4, is it the new normal for ROCKWOOL? Should we think about this one when we're trying to forecast 2026? And my second question is, like, when we look at Russia, I think you're giving a number for Russia, or the margin excluding Russia, and Russia as a percentage of sales. And when I do the math, it suggests that Russia was approximately 14% of your EBIT, with a bit more than €60 million of contribution in the nine months, and with a margin of 30%. Is it correct?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

Yes. Hello, Yassine. We don't want to, right now, put more color to the Q4 than we have already done. As I said, the market development or trends are more or less the same as in Q3, and we serve sort of a little bit of the margin outlook, we reserve that for other things we are looking at right now and have to make decision on before year-end. So there is nothing really dramatic, and I don't want to say a new normal because as these – some of them are one-offs, some of them are adverse market developments and they can happen all the time. But there is nothing dramatic in Q4. But we are looking at a few things that might impact as a one-off in Q4. On the Russian, I think, your calculations are correct.

Yassine Touahri

Analyst, On Field Investment Research

Q

And I think, just on the margin effect, you're guiding on margin of 11% to 15%, excluding one-offs in the Q4, when I think the market is expecting margin closer to 16% in 2026. So that's a big, big difference, which seems dramatic when you look at it.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

As I said, Yassine, yes, we have other things that we are looking at that we have not yet completed the analysis and decision points on. And that means there's a little bit of space reserved for eventualities that is coming here in Q4, also kind of non-recurrent one-off things.

Yassine Touahri

Analyst, On Field Investment Research

Q

That would be great if, at some point, we could get more detail. Thank you so much.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

A

In February.

Yassine Touahri

Analyst, On Field Investment Research

Okay. Thank you.

Q

Operator: Thank you. The next question comes from Anders Christian Preetzmann with Danske Bank. Please go ahead.

Anders Christian Preetzmann

Analyst, Danske Bank A/S

Yes. Hello, Jes and Kim, and thank you for taking my questions as well. I also have two. So the first one is on the Canadian business where you mentioned the expected impact of €15 million to €20 million on EBIT from the continued slowdown in the Canadian business for Q4. And I mean, that's a quite significant number, considering the size of the Canadian business. So is it fair to assume that you expect a mid to low single-digit EBIT margin in Canada for Q4, or how should we read this? That's my first question. My second one is regarding the incident in Switzerland. How much revenue here are you able to recuperate from shipping product into Germany? I know, we've before talked about your Swiss customers appreciating the Made in Switzerland label. So I suppose you might miss some of that revenue. Those were my two questions. Thank you.

Q

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Let me take the last one. As it looks now, we can cater for approximately half of the volume into the Swiss market. We did believe it was more when it just happened. But as you maybe know, the Swiss operations has own brand and an own product portfolio. So a very unfortunate situation. Lucky and glad that nobody got hurt. And I do want to put some flavor to it. I think, it's important for everyone to know that it was even though somewhat dramatic, it was a very banal mechanical error. It has nothing to do with our novel melting technologies or any of our other proprietary technologies. So unfortunate, and of course, an impact on the Swiss market, and approximately 50% of the volumes that we can cater for through other factories.

A

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

On the margin in Canada, they are still double-digit. But we had an expectation of a fantastic Q4. So there the impact was small compared to our original estimate. But it's still a double-digit margin business, Anders.

A

Anders Christian Preetzmann

Analyst, Danske Bank A/S

Thank you very much. That was all for me.

Q

Operator: Thank you. Your next question comes from Julian Radlinger with UBS Group. Please go ahead.

Julian Radlinger

Analyst, UBS AG (London Branch)

Yeah. Thanks very much, guys. I wanted to ask about the Q4 as well, but I'm going to leave that since it's been asked so many times. Instead, I want to ask about North America. So can you just quickly remind us of the revenue split there between Canada and the US? Obviously, the US is a lot bigger. But more importantly, what are your key end markets in Canada and the US in terms of verticals? Because I remember, at the H1 results,

Q

you mentioned it was predominantly non-residential, warehouses, industrial, that kind of thing. Is your split of verticals in the US the same as in Canada, and is demand there just better, or is it something different that's driving better demand in the US versus what's going on in Canada? Thank you.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Let me try to add some flavor to it. The US is now slightly larger than the Canadian business, but only slightly. As you maybe know, for historic reasons, we started in Canada and grew our business there, and only first really have gotten growth momentum the last few years in the US. So a slightly bigger US business than Canadian business. From a structural perspective, it is similar, Canada and the US, slightly bigger commercial industrial than residential business. What drives growth in the US is a combination of both investments into commercial industrial, mainly warehouses, distribution and industry. And those were the ones we saw put on hold during the summer. I don't know if you were in the call we had in August, but we saw a sudden delay of large projects in the US. They were not canceled. They were just delayed.

We heard from many of our distributors and end customers that the one we're waiting for, both the consumer sentiment, but also where the interest rates would be heading. And we've seen many of these projects, although not all of them, being released. On the residential side, we are increasingly and accelerating our efforts on what we call the box business. It's the Home Depot and Lowe's channel, where we have, also together with both of those two players, set up increasingly point of sales. And I know we don't report on that yet, but maybe one day we should open up that a little bit about how many points of sales we have with the two large players into that market. If you follow that market, then you will see that a lot of Home Depot and also Lowe's, but Home Depot as a leader, their sales go to commercial business also.

So when we called big box and residential, it is actually also to smaller contractors that that channel caters for. And there we are right now accelerating. We are setting up more points of sales, but we're also growing in comparable same-store numbers. So both of these channels, commercial industrial and residential, are driving growth. The last comment on it, because US is of great interest to us, as you know, as a growth driver, is our West Coast efforts where we still are in very, very, you can say, early days of developing that market, and where we are currently setting up more and more distribution, getting ready for getting our Wallula factory in state of Washington on line. So those are the three main factors in the US market.

Julian Radlinger

Analyst, UBS AG (London Branch)

Q

Okay. So if I can just quickly follow up on that. So you're saying that, even in residential in the US you're growing both, of course, driven by your point-of-sale expansion, but even on a same-store sales basis, that's quite an outperformance versus what the underlying market seems to be doing in residential in the US right now. Anything specific you would attribute that to? Is that just penetration growth? Is it because you're still so small? And of course, the smaller you are, the more disconnected your volumes can be from the overall market, or how would you explain that?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

But it is a category shift, so you had a different word for it. But we're shifting the categories. If you look at Canada, still more than we have a market share, I think, between 13%, 14% of total insulation. If you look at the US stone wool is 3%, 4%. And in general, but that becomes a longer explanation, in general, this is a market shift from other insulation products, foam and glass into stone wool. And we are the only real stone wool manufacturer in

the US. So because that is a correct observation, regardless of, at least to a certain degree, regardless of macros, we have great opportunities to grow our business. That's also why we keep on investing in capacity.

Julian Radlinger

Analyst, UBS AG (London Branch)

Got it. Thank you very much.

Q

Operator: Thank you. [Operator Instructions] The next question comes from Zaim Beekawa with JPMorgan. Please go ahead.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Morning, gents. Thanks for taking my questions. The first one is just on the higher CapEx comment. I appreciate you won't give a range now, but how do you think this may weigh on ambition or ability to do further share buybacks in the coming years? And then secondly on [indiscernible] (00:37:08) is it set to come back on line in Q1, and how long, once you get the equipment, will it take for you to ramp back to your previous capacity? Thank you.

Q

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

I will not get at more details to the CapEx, nor of course, share buyback programs, I simply can't. I can add a little bit of flavor on what drives our CapEx. It's not just capacity requirements. It is also new legislations in mainly Europe that require us to upgrade base of our factories to reduce our emissions, also notable emissions, non-CO2 related. So it's both regulations and market demands that are driving it in that direction. And it's also, we see it, of course, as a great opportunity, but also something that needs to be done timely in order to meet the demands of the more regulatory side of our demand side. When we say we're back on line in Flumroc early next year, then it's including getting all spare parts and testing, et cetera, et cetera. So all this what was needed from a spare part perspective, and what was needed from a cleaning perspective have already been started a few weeks ago. So we are optimistic that we get up and running early in the next year.

A

Zaim Beekawa

Analyst, JPMorgan Securities Plc

All right. Thank you.

Q

Operator: Thank you. Your next question comes from Katherine Hearne with Barclays. Please go ahead.

Katherine Hearne

Analyst, Barclays Capital Securities Ltd.

Hi. Morning. Thanks for taking our questions. Just wondering if you could provide any early color on your thoughts around pricing and cost inflation, particularly on the energy side for 2026. And then I appreciate you can't give too much color on the Russian business, but just wondering if the EBIT contribution reduces significantly there, does that change how you're thinking about ownership of the business going forward. Thank you.

Q

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

Let me start the first point. So our pricing, we sometimes articulate as a drumbeat. And after some years with very high inflation and very high price increases, we're back to a normalized drumbeat, and foresee and plan a 1% to 3% price increase next year. As I said earlier, the price increases we put in this year with approximately 1% effect this year are sticking. And we expect this more normalized drumbeat of 1% to 3% also to stick next year because it is a more normalized level.

On the input cost, it's fairly flattish, our forecast on the base most important, both on COGS and gas, electricity. So all-in-all, it's a fairly balanced picture between the price increases and the larger input cost groups. So flattish. I missed a little bit of your second question, but I think you asked about Russia and ownership. There's no change in strategy there. So we're sticking to the statements that we already have made. We are keeping the assets in a passive ownership, as you could notice before, we don't have any operational insights or influence on the business, but have chosen simply to keep it in a passive ownership.

Katherine Hearne

Analyst, Barclays Capital Securities Ltd.

Great. Thanks very much.

Operator: Thank you. Your next follow-up question comes from Julian Radlinger with UBS Group. Please go ahead.

Julian Radlinger

Analyst, UBS AG (London Branch)

Yeah. Sorry, guys. Just a quick follow up. So you said earlier in the call that, at the moment, you can cater for about half the volume in the Swiss market from Germany, and earlier you thought it was more. Can I just double check, does that mean that we should think about the entire kind of Swiss planned outage related one-off costs in Q4 as actually more than €15 million because of that, or is that already included in that number?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

The €15 million includes everything, and maybe I should have been more specific about approximately 50%. What I meant was, 50% of our sales we can – where we're seeing 50% of our sales maintained in this period. Of course, there are some customers...

Julian Radlinger

Analyst, UBS AG (London Branch)

In Switzerland?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

Yeah. I mean, the customers know it's a temporary situation. So it's really hard to say what is simply people not stocking, and waiting until the products are available again and what is other effects. But €15 million includes more or less the whole thing.

Julian Radlinger

Analyst, UBS AG (London Branch)

Okay. Thank you. Is there a possibility then that you might actually have some catch-up in Q1 once the plant comes back on line because people waited for the product?

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

That is very, very plausible. But for the group numbers, it is not material at all.

Julian Radlinger

Analyst, UBS AG (London Branch)

Sure. Okay. Thanks a lot.

Operator: Thank you. The next question comes from Aman Saxena with Bernstein. Please go ahead.

Aman Saxena

Analyst, Societe Generale Global Solution Centre

Yeah. Hi, everyone. This is Aman from Bernstein. Thanks for taking my question. I think every question has been answered. Just one smaller one regarding the Flums plant disruption. I know you have shown [indiscernible] (00:43:30) the root cause. How do you want to prevent this in the future with the other plants? Just one question.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

We have a standard operating procedure for when we have incidences in the group. So basically, what you do is, of course, first of all, make sure everyone is safe. Then you make sure that you start planning for restart and testing and et cetera, et cetera. But you, in parallel, of course, also look at if there are other plants who have similar equipment, and if that needs to be upgraded. In this case, and I don't want to get into great detail about it because it's about technology, but it was a fairly banal mechanical error on a single piece, and that can be handled both with redundancies in mechanics, but also ensure that no other factories encounter something similar.

Aman Saxena

Analyst, Societe Generale Global Solution Centre

Thank you.

Operator: Thank you. Your last follow-up question comes from the line of Yassine Touahri with On Field Investment Research. Please go ahead.

Yassine Touahri

Analyst, On Field Investment Research

Yes. Thank you very much. Maybe more question on strategy on the long term. I think a lot of your competitors such as Saint-Gobain, now [indiscernible] (00:44:52) selling strategy where insulation is only part of building of [indiscernible] (00:45:00) et cetera, the roofing system or external insulation system or interior solution system. Do you see a risk of being sidelined from projects if you only offer stone wool and your competitors are offering a full system? I've seen that you've done a small acquisition in ETICS. I'd like to understand how do you think about the group long term.

Jes Munk Hansen

President & Chief Executive Officer, ROCKWOOL A/S

A

It's, of course, something we have looked at ongoingly in our strategy work, but we're convinced that it's the most valuable play for us is to stick to stone wool. We are arguably the best manufacturer of stone wool in the world, both quality-wise, productivity, efficiency, and of course, also sustainable. So we're not concerned about being marginalized or becoming irrelevant. There's so much for us to do in maintaining a pure player, both in Europe and in North America. There's so much more growth to capture.

We have benefits of stone wool over glass and foam. That leaves ample space for growth. So we are sticking to our very pure, focused strategy of staying in stone wool. We are also, of course, having a Systems division where we have the logic that, as long as it's stone wool, or the lion's share is stone wool, i.e. we're moving stone wool with these activities, so Grodan in our panels or the ETICS market. But then it's relevant for us to be in. But the underlying logic is that, we want to be and maintain being the most relevant and highest performer in stone wool.

Yassine Touahri

Analyst, On Field Investment Research

Q

Thank you very much.

Operator: Thank you. This concludes our question-and-answer session. I would like to turn the conference back over to the management for any closing remarks.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, ROCKWOOL A/S

Thank you very much. Jes and I thank you for today's earning call, and we would like to thank you for all the questions and the audience for listening in on today's call, and appreciate your interest in ROCKWOOL A/S. If you have any further questions, please feel free to reach out to me. You may find the contact details in the Investors section on our corporate website. Have a very nice day. Thank you.

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